

CHAPTER 3C: PGBP

BASIS OF CHARGE [SECTION 28]

1. The **profit of any business or profession** carried at any time during the relevant PY.
2. **Export incentives** (Cash assistance/ sale of import license / Duty Entitlement Pass Book / duty drawback)
3. The value of **any benefit or perquisite** arising from business or Profession (**Gift received from customers/client**)
4. Any interest, salary, bonus, commission or remuneration, **received by a partner of a firm from such firm**.
5. **Non - competing fees** - Fee for not carrying out any business activity or not sharing know-how, patent, copyright, trademark, license, franchise or other commercial rights.
6. Any sum received by **ER** under a **Keyman insurance policy**
7. Income from **speculative** transaction
8. Amount received on termination or modification of business contracts.
9. If any person has converted any inventory or stock in trade in to a capital asset. **Business Income** = FMV on Date of Conversion
10. Income from letting out a residential house by the owner is taxable under "Income from House Property", not PGBP.

Note:

Speculative Transaction:

A transaction where a contract for purchase or sale of commodity (including stocks and shares) is settled without actual delivery or transfer.

Not deemed speculative transactions:

1. Hedging contracts – Raw materials, merchandise, stocks and shares.
2. Forward contracts.
3. Electronic trading in derivatives through SEBI registered broker on recognised stock exchange.
4. Electronic trading in commodity derivatives through registered member on recognised stock exchange (subject to CTT).

Note: CTT not required for agricultural commodity derivatives.

HOW TO COMPUTE PGBP [SECTION 29]

The income referred to in **section 28** shall be computed in accordance with the provisions contained in **sections 30 to 43D**.

RENT, RATES, TAXES, REPAIRS AND INSURANCE FOR BUILDINGS [SECTION 30]

Building Used As	Expenses Allowed
Tenant	Rent, Current Repairs, Municipal Taxes & Insurance
Owner	Current Repairs, Taxes, Insurance and also Dep

Notes:

1. Capital repairs by owner – **Not deductible**; depreciation can be claimed.
2. Capital repairs by tenant – **Treated as deemed building**; depreciation allowed.
3. Owner **cannot claim notional rent**.

DEDUCTION RELATING TO PLANT, MACHINERY & FURNITURE [SECTION 31]

- **Current Repairs** and **Insurance** related to P/M & Furniture used in business is **allowed** u/s 31.
- **Rent Paid** for P/M & Furniture if taken on hire, shall also be **allowed** but in u/s 37.

DEPRECIATION [SECTION 32]

1. **Conditions for claiming Depreciation**
 - a) Asset must be **owned** by the assessee, wholly or partly.
 - b) Asset must be **used** for the purpose of business or profession.
 - c) Asset must be **used** during the P.Y..

If any of the above condition is **not satisfied**, depreciation shall not be allowed.

Note:

- a) It is mandatory for Assessee to **claim depreciation**.



- b) Depreciation is allowed when asset is **put to use** and not when it is **ready to use**.

2. Methods Of Depreciation

- Normal Depreciation For **Block Of Assets** on WDV basis
- Additional Depreciation For **Eligible Asset**
- Asset Wise** Depreciation For An Undertaking Engaged In Generation or Generation & Distribution Of Power

3. Block of Assets [Section 2(11)]

It means a **group of assets** falling within a class of assets comprising:

- Tangible assets**, being building, plant and machinery or furniture
- Intangible assets**, being know how, patents, copyrights, trademarks etc.
in respect of which **same rate** of depreciation is charged.

4. Rate Of Depreciation

Building	
• Residential Purpose Building other than Hotel	5%
• Non Residential Purpose Building including Hotel	10%
• Temporary erections	40%
Furniture and Fittings	10%
Machinery and Plant	
Machinery and Plant (General)	15%
• Motor cars	
• Used in a business of running them on hire	
Generally,	30%
Acquired and Put To Use between 23/8/19 – 31/3/20	45%
• Other than Used in a business of running them on hire	
Generally,	15%
Acquired and Put To Use between 23/8/19 – 31/3/20	30%
• Ships	20%

• Airplanes	40%
• Computers including computer software and computer peripherals (Excluding Mobile)	40%
• Books	40%
Intangible Asset Other Than Goodwill	25%

5. WDV For Charging Depreciation

Particulars	Amount
Opening WDV of Block	xxx
Add: Assets acquired During the P.Y.	
Put To Use for 180 days or more	xxx
Put To Use for Less than 180 days	xxx
Not Put To Use	xxx
Less: Money Payable (Selling Price Of Asset)	(xxx)
Closing WDV Before Depreciation	xxx
Less: Depreciation actually Allowed	xxx

Note: If asset is acquired but **not put to use**, then depreciation on such asset shall not be allowed.

6. Depreciation allowed at Half Rate

Depreciation will be **restricted to 50%** of the normal depreciation, if the following conditions are satisfied:

- Asset is purchased and put to use in **the same Year**.
- Period of put to use for **less than 180 days**.

Note:

- Half rate** of depreciation is charged on value of asset, not on Block value.
- Charge **Full rate** of depreciation on **balance** value of asset remaining after charging half rate of depreciation

7. When No Depreciation Shall Be Allowed

- All the assets of the block are transferred**
If all assets in a block are transferred during the P.Y., the **block ceases to exist** and **no depreciation** is allowed. This can happen



in the following two cases:

- i. Sale price exceeds Block Value
 $STCG \text{ u/s } 50 = \text{Sale Price} - \text{Block Value}$
 - ii. Sale price is less than Block value
 $STCL \text{ u/s } 50 = \text{Sale Price} - \text{Block Value}$
 - b) Part of block is sold and the sale consideration of assets exceeds block Value
 - i. Sale price > Block Value
 - ii. Although assets exist in the block but WDV becomes NIL, no depreciation is allowed.
 - iii. $STCG \text{ u/s } 50 = \text{Sale Price} - \text{Block Value}$
8. Additional depreciation on new machinery or plant [Section 32(1)(ia)] – Only For Old Regime
- A. Allowed to assessee engaged in manufacture of any article or generation or generation and distribution of power.
 - B. additional depreciation is Allowed on new machinery or plant acquired and installed.
 - C. Additional Dep Not allowed for:
 1. Ships and aircraft
 2. Second-hand plant/machinery
 3. Machinery installed in office/residential accommodation, office appliances or road transport vehicles
 4. Machinery/plant whose entire cost is already allowed as deduction
 - D. Rate:
 - 20% in the year asset is put to use.
 - If used <180 days → 10% in first year + 10% in next year.
 - E. Note:
 - a) Printing & publishing treated as manufacturing → eligible.
 - b) Forklift used in factory not treated as transport vehicle → eligible.
 - c) Power units opting SLM method → not eligible
 9. Actual cost Of Asset
 Actual cost of the asset to the assessee excludes any portion of cost incurred directly or indirectly by any other person or

authority.

Note:

- a) Aggregate Payment exceeds ₹10,000 in a day to a person made other than A/c payee cheque, A/c payee draft or ECS shall be ignored while determining actual cost.
- b) Interest paid before commencement of production on borrowings for acquisition and installation of machinery forms part of actual cost.

Actual cost in certain special situations

Situation	Actual Cost
Acquisition of Asset: Where assessee himself acquires the asset.	Purchase Price Add: (a) Interest on Loan for the period upto the date of usage of the asset (b) Freight and Insurance (c) Loading, Unloading Charges (d) Installation and Erection Charges Less: (a) Subsidy or Grant, (b) GST ITC Credit availed
Conversion of Stock into Capital Asset	FMV which has been taken into account
Asset received under Gift, Will or Inheritance.	WDV to the Previous Owner.
Transfer and Re-acquisition: Transfer of an asset and re-acquisition of the same.	WDV at the time of Original Transfer or repurchase price, whichever is less.
Building used for private purpose and subsequently put into use in business	Cost of Acquisition or Construction Less: Notional / Deemed Depreciation for the period of personal use.

Note: If any asset other than building earlier used for personal purposes is later used in business, actual cost = actual cost to assessee (no deduction of notional depreciation).



10. Depreciation On SLM Basis

Assessee	Engaged in Generation, transmission, Distribution of Power
Time to Exercise	Before RFD of PY in which they begin to generate power. The option once exercised shall not be reversed.

Sale of Asset By Assessee Engaged In Power Generation

➤ Case 1: Sale Value < Book Value

Terminal Depreciation (Dr. to P/L) = Book Value – Sale Value

➤ Case 2: Sale Value > Book Value But ≤ Actual Cost

Balancing Charge (Cr. To P/L) = Sale Value – Book Value

➤ Case 3: Sale Value > Actual Cost

Balancing Charge (Cr. To P/L) = Actual Cost – Book Value

LTCG/STCG Depending on Period of Holding = Sale Value – Actual Cost

11. Unabsorbed Depreciation

- If profit before depreciation is insufficient, depreciation is allowed up to profit and the balance is unabsorbed depreciation.
- Unabsorbed depreciation is carried forward to next year for set-off.
- It can be carried forward indefinitely until fully set off

SCIENTIFIC RESEARCH [SECTION 35]

1. In-house Research (Research – Related To Business)

Assessee	All Assesseees
Research During PY	100% of revenue as well as capital expenditure incurred during the P.Y. shall be allowed as deduction except capital expenditure on purchase of LAND.
Research before commencement of business	• Exp Incurred upto 3 years before the commencement of business shall be allowed in the year of commencement of business. • Revenue Expenditure – Only Salary (Excluding

Perq) + Material

Note: Other Revenue Exp Not Allowed

- Capital Expenditure – Allowed Except LAND

2. Sale of assets used for scientific research

- Asset Sold Without Being Put to use for business purpose:
 - a) Sale Value ≤ Actual Cost, then sale value is Business Income
 - b) Sale Value > Actual Cost, then actual value is business income and difference between sale value and actual cost shall be STCG/LTCG depending upon period of holding
- Asset Sold After Being Put to use for business purpose: Asset will be added to the respective block with NIL value and deducted from the block with sale value

3. Carried forward of unadjusted capital expenditure of scientific research

- If profit before deducting capital expenditure on scientific research is less than such capital expenditure, the excess is carried forward.
- Revenue expenditure on scientific research is fully allowed irrespective of profits.

4. Contribution To Outside Agency (Research – Business Relation not compulsory) – Old Regime

Donation given to an Approved scientific research association	100%
Donation is given to an Indian company approved for the purpose of scientific research or to any approved institution social science or statistical research.	100%
Donation is given to IIT/National Laboratory for scientific research	100%

Note:

Deduction shall not be denied if after making donation by the assessee, approval of such institution has been withdrawn.



DEDUCTION IN CASE OF SPECIFIED BUSINESSES – ONLY FOR OLD REGIME [SECTION 35AD]

1. Specified business means

- a) Pipeline network for natural gas/crude/petroleum with storage facilities.
- b) Cold chain facility.
- c) Warehousing for agricultural produce.
- d) 2-star or above hotel (as classified by CG).
- e) Hospital with at least 100 beds.
- f) Affordable housing / slum redevelopment housing projects (notified by CBDT).
- g) New plant or new capacity for fertilizer production.
- h) Inland container depot / container freight station (under Customs Act).
- i) Bee-keeping and production of honey & beeswax.
- j) Warehousing facility for sugar.
- k) Slurry pipeline for transportation of iron ore.
- l) Semi-conductor wafer fabrication manufacturing unit.
- m) Developing, operating or maintaining a new infrastructure facility.

2. **Deduction:** 100% of capital expenditure except (Land, Goodwill and financial instrument). Also, expenses incurred before commencement of business shall be allowed if **capitalized** in books of accounts.

3. However, Aggregate Payment exceeds ₹10,000 in a day to a person made other than A/c payee cheque, A/c payee draft or ECS shall **Not Eligible** for Deduction u/s 35AD

4. Conditions:

- a) Asset **must be used** in business **for 8 AY** for which deduction is claimed u/s 35AD otherwise, in the year of sale or put to use in other business shall be business income which is equal to:
PGBP Income = Total Deduction Claimed (i.e. Cost of Asset) – Deemed Depreciation.
- b) If asset is sold **after 8 years** then entire sales consideration shall

be treated as business income as per section 28.

PRELIMINARY EXPENDITURE [SECTION 35D]

1. **Assessee:** The Assessee should be an **Indian Company**, or Non-Corporate Resident Assessee.
2. **Eligible Expenses:**
 - (i) Preparation of **feasibility report**
 - (ii) Conducting **market survey** or any other survey necessary for the business.
 - (iii) Preparation of **project report**.
 - (iv) **Engineering services** relating to the business.
 - (v) **Legal charges** for drafting any agreement relating to the setting up or conduct of the business.
 - (vi) Legal charges for **drafting** and **printing** of Memorandum of Association (MOA) and Articles of Association (AOA).
 - (vii) **Registration fees** of a company paid to Registrar of Companies.
 - (viii) Expenses and legal charges incurred in drafting, printing and advertising of prospectus.
 - (ix) Expenditure incurred on **issue of shares** or **debentures** like underwriting commission, brokerage, advertisement etc.

Note: Salary to employees, rent of premises, interest on borrowed capital are not treated as **preliminary expenses** hence deduction **never allowed**. These are treated as dead expenses.

3. Deduction

- (i) An Indian company
Lower of following shall be allowed as deduction **in 5 equal installments**
 - (a) Aggregate Amount of eligible expenditure or
 - (b) 5% of the **cost of project** or 5% of the **capital employed**- whichever **is higher**
- (ii) a resident non-corporate assessee.
 - (a) Aggregate Amount of eligible expenditure or
 - (b) 5% of the cost of project



whichever is lower is allowed as deduction in 5 equal installments

4. **Note:**

- a) Cost of project includes actual cost of the fixed assets, being land, buildings, leaseholds, plant, machinery, furniture, fittings and railway sidings (including expenditure on development of land and buildings).
- b) Capital employed is the aggregate of the issued share capital, debentures and long-term borrowings
- c) Reserve and Surplus including security premium shall not be part of Capital Employed.

AMORTISATION OF EXPENDITURE INCURRED UNDER VRS
[SECTION 35DDA]

Amount paid on voluntary retirement is allowed as deduction in 5 equal annual installments starting from the year of payment.

OTHER DEDUCTIONS [SECTION 36]

The following expenses are allowed to be debited in the profit & Loss Account

1. **Insurance Premium**
 - a) Stock (including livestock)
 - b) Medical Insurance of EE (provided not paid in cash)
2. **Bonus Or Commission Paid** to the EEs [not payable as dividend], subject to section 43B.
Note: there is no restriction on the amount of the bonus, it may exceed the bonus payable under the Payment Of Bonus Act, 1965
3. **Interest On Loan taken** for business or profession. However, if a loan is taken from a scheduled bank or financial institution including NBFC, deduction is allowed subject to section 43B.
Note: loan taken for asset – Interest prior to the date the asset is put to use is capitalized and depreciation is allowed.

4. Discount on **Zero coupon bonds** is allowed on a **pro-rata basis** over the life of ZCB.

5. **ER contribution to**

1. Statutory Provident Fund	Allowed subject to the provisions of Section 43B
2. Recognized Provident Fund	
3. Approved superannuation fund	
4. Approved gratuity fund	
5. Any other Approved Fund	

6. **ER Contribution to NPS** referred u/s 80CCD, lower of following shall be allowed as deduction:

- i) Amount contributed
- ii) 14% of RBS

7. **Employee's contribution deducted by employer** is allowed as deduction only if deposited in the relevant fund by the due date (15th of next month).

Note: If deposited after due date, it becomes PGBP income of employer and is not allowed as deduction.

8. **Bad Debts**

Bad debts written off from the books of accounts – allowed as a deduction

Note: Such debts have been taken into account for computing income of PY or any earlier PY.

Provision for bad debts is not allowed as a deduction.

Bad Debts recovered – Income of recovery year, whether or not business or profession is in existence.

9. **Family planning Promotion Expenditure** is allowed to company assessee as follows

Revenue Expenditure	Full
Capital Expenditure	In 5 Installments

If Sufficient profit is not available, then **expenditure (R/C)** shall be



deducted to the extent of profit available.

10. STT/CTT paid is allowed as deduction if **securities/commodities** are held as stock in trade.

GENERAL DEDUCTIONS [SECTION 37(1)]

If any expenditure is not covered under section 30 to 36, then such expense shall be allowed under this section subject to following conditions:

- (a) Expenditure is of **revenue nature**
 - (b) Expenditure is incurred for the purpose of **business and profession**.
- Various expenditure which may be allowed under section 37(1) are as given below:
1. Expenditure in connection with **advertisement**. If the expenditure incurred is capital nature, depreciation is allowed.
 2. Expenditure on **travelling** including the expenses of boarding and lodging in connection with business/profession.
 3. **Salary paid** to the employees.
 4. Expenditure in connection with **entertainment** of the employees or the customer
 5. Expenditure in connection with **opening ceremony** (Mahurat) of the business/profession.
 6. Expenditure on the occasion of **various festivals** like Diwali etc. for employees or customer
 7. Interest on **late payment** of GST.
 8. Expenditure in connection with **legal proceedings**.
 9. Professional tax paid by a person carrying on business or profession.
 10. Expenditure on the filing of return of income, filing of appeal or audit fee etc. is **allowed**.
 11. Expenditure incurred on **Keyman insurance policy**
 12. Any other expenditure which is **revenue in nature** and it is related to business or profession.

Following expenses are **not allowed** as deduction:

- a) **CSR expenses** incurred by company.

- b) **Advertisement** in any souvenir, brochure, tract, pamphlet or the like published by a political party.
- c) Penalty for breach of law.
Note: Penalty for **breach of contract** – Allowed as deduction.
- d) Interest on loan taken for payment of income tax
- e) **Illegal expenses** like, hafta, bribe etc.
- f) Expenditure incurred to **settle proceedings** related to legal contraventions as notified by the Central Government

EXPENDITURE WHICH ARE PARTLY IN BUSINESS USE AND PARTLY IN PERSONAL USE [SECTION 38]

If any person has any asset in **business or profession** as well as in personal use, expenditure is **allowed** only to the **extent** the asset is in the use of the business or profession

EXPENSES NOT ALLOWED AS DEDUCTION

PAYMENTS ON WHICH TDS PROVISIONS APPLY

Disallowance will be attracted if any of the following conditions are satisfied:

- a) TDS not Deducted **upto last day** of Relevant PY
- b) TDS Not deposited with govt. upto **return filing** date u/s 139(1).
Return filling due date as per section 139(1)

Audit	-	31/10/AY
No Audit	-	31/7/AY

Disallowance shall be:

Section	Payment To	Disallowance
40(a)(i)	Payment to any person O/S India or in India to Non-resident	100%
40(a)(ia)	Payment In India To Resident	30%

Disallowed amount shall be allowed in the year in which TDS is deposited with GOVT.



Note:

However, **no disallowance** shall be attracted if payee has furnished the return of income taking into account such amount in total income and has paid tax on such amount.

PAYMENT OF SALARY OR INTEREST TO THE PARTNERS [SECTION 40(B)]

- (a) Interest to the partner is allowed if mentioned in the partnership deed but **maximum @ 12% p.a.**
- (b) Payment of salary, bonus, commission or any other remuneration is allowed to the working partner subject to the **following limits:**

Book Profit (BP)	Max. Remuneration
Upto Rs. 6,00,000	90% of BP or Rs. 3 Lakh, whichever is higher
Beyond Rs. 6,00,000	60% of BP

Meaning Of BP

Particulars	Amount
Profit as per Income Tax	-
Add: Remuneration to Partner (if debited to P/L)	-
Less: Brought forward Depreciation (Unabsorbed Dep)	(-)
Book Profit	-

Note: Brought forward losses shall not be adjusted for calculation of Book Profit.

PAYMENT MADE TO RELATIVES [SECTION 40A(2)]

If A.O is of the opinion that having regard to **FMV**, payment is excessive or unreasonable, then such **excessive** or **unreasonable** payment shall be disallowed.

Meaning of Related Person

- For An individual** → An individual who is relative of the assessee. Relative, in relation to an “**individual**”, means the spouse, brother or sister or any lineal ascendant or descendant of that individual
- For A Company** → Director of the company or any relative of a director
- For A Firm** → Partner of the **firm** or **relative** of a partner

- For An AOP** → Member of the **AOP** or **relative** of a member
- For An HUF** → Member of the **family** or **relative** of such person

PAYMENT BY NON-SPECIFIED MODE [SECTION 40A(3)]

- A Payment or Aggregate of Payments made to A Person in A Day for An Expenditure **exceeds Rs. 10,000** (Rs. 35,000 to Transporter for Goods Carriages],
- Entire payment **shall be disallowed**
- If it is made through **any mode other** than A/C payee cheque/Draft or an Electronic clearing system through bank A/C, Debit/Credit Card, IMPS, NEFT, RTGS, Net Banking, UPI etc.

Rule 6DD (exception to Section 40A(3)) no disallowance for following payments:

- Payments made to Cultivator, Grower or Producer of agricultural produce & related products etc.
- Payment made to Government, Banks, RBI, LIC
- Payment to person residing @ place which is **not served** by bank.
- Where the payment is made by any person to his **agent** who is required to make **payment in cash** for goods or services on behalf of such person;
- Payment to employee for retirement benefit not exceeding Rs.50,000.
- Payment of salary to EE who is posted to any other place or ship (not a normal place of duty) for **a period of 15 days** or more.
- Where the payment is made for the purchase of the products manufactured in a **cottage industry** without the aid of power., to the producer of such products.
- Where the payment is made by **transferring funds** from one bank account to the other or payment is being made by any credit card/ a debit card/ letter of credit etc., payment is allowed.
- Payment by book entry i.e. adjustment entry passed in books.

Note:

- If Expenditure has been allowed as deduction in any earlier PY on



accrual basis (if assessee is following accrual basis) & payment for such expenditure has been made in any subsequent PY exceeding Rs. 10,000/35,000 in cash to a **person in a day**, then such payment shall be deemed to be the income of PY in which payment is made [Section 40A(3A)]

2. Sec 40A(3) does not Apply for Repayment of Loans (**Capital Expenditure**). But it applies to interest payments since interest is a Revenue expenditure.

Deductibility in respect of provision for Gratuity Fund [Section 40A(7)]

If provision (**contribution**) is made towards approved gratuity fund, then such provision is allowed as per Section 36(1)(v) subject to section 43B. However If provision (**contribution**) is made towards unapproved gratuity fund, then such provision is **disallowed** under Section 40A(7).

CERTAIN PAYMENTS ALLOWED ON PAYMENT BASIS [SECTION 43B]

Following expenditures are **allowed** if paid on or before the due date mentioned u/s 139(1):

- a) Tax, Duty, Cess or Fee (**by whatever name called**) levied under any law.
- b) **Employer's Contribution** to any SPF, RPF, Approved Superannuation Fund, Approved Gratuity Fund, Notified Pension Scheme or any recognized fund
- c) Leave Salary, Bonus/Commission to employees.
- d) **Interest on any Loan** or borrowing from any Bank, Financial Institution including NBFC.
- e) Any **Sum Payable** to Indian Railways for the use of Railways Assets.

Note:

1. If the payment is made after **due date of filing of return** of income, expenditure is allowed in the year in which the assessee has made the payment.
2. If **outstanding interest** on any loan or borrowing or advance, is converted into a new loan or borrowing or advance, shall not be

considered as paid and hence not eligible for deduction. However, deduction shall be allowed for installments actually paid in respect of new loan.

3. Similarly, if outstanding interest is **converted** into debentures, such conversion is not to be considered as actual payment.
4. Payment to Micro or Small Enterprise beyond the time limit under Sec. 15 of MSME Act is allowed as deduction only in the year of actual payment.

As per section 15 of the MSME Development Act, 2006, payment is to be made to the supplier as follows:

- (a) in case of written agreement- as per agreement subject to maximum **45 days** from the date of **acceptance** of goods and service
- (b) in case of no written agreement- **maximum 15 days**.

COMPULSORY MAINTENANCE OF BOOKS OF ACCOUNTS [SECTION 44AA]

1. Assessee engaged in Specified Professions

Gross receipts exceeds INR 1.5 Lakh in each of the last three PY	Gross receipts doesn't exceeds INR 1.5 Lakh in each of the last three PY
Prescribed Books as per Rule 6f	Necessary books to enable AO to assess the income.

Specified Profession

Legal profession	Medical profession
Engineering profession	Architectural profession
Profession of accountancy	Technical consultancy
Interior decoration	Authorised representatives
Film artists	Company Secretary
Information Technology	

2. Assessee engaged in other Profession or Business

Required to maintain such books of a/c which will enable AO to compute



their taxable income if any of the following conditions are satisfied in ANY ONE of the last 3 PY:

	Individual / HUF	Other Assessee
1. PGBP Income exceeds	INR 2.5 Lakh	INR 1.20 Lakh
2. Turnover or GR exceeds	INR 25 Lakh	INR 10 Lakh

3. Prescribe books as per Rule 6F

- (i) a cash book;
- (ii) a journal
- (iii) a ledger;
- (iv) Carbon copies of bills and receipts in relation to sums exceeding Rs. 25;
- (v) Original bills and receipts of expenditure.

DEEMED PGBP INCOME [SECTION 41]

- Refund/Recovery of Deduction/Remission/Cessation of Trading Liability
E.g. Discount received while making payment to creditors; stock in trade is destroyed and allowed as trading loss and subsequently insurance claim is received.
- Recovery of Bad Debt Allowed as deduction
- Sale of Scientific Research Asset
- Balancing Charge (In case of assessee engaged in Power Generation)

COMPULSORY AUDIT OF BOOKS OF ACCOUNTS [SECTION 44AB]

Assessee Engaged In	Audit Requirement
Business	Turnover exceeds 1 Crore Proviso to Section 44AB(a) Inserted: NO AUDIT Upto 10 Crore Turnover if : a) If Turnover of assessee is more than 1 crore but upto 10 crore b) Aggregate of all Amounts received in cash is not more than 5% of total Receipts during the PY, and c) Aggregate of all Amounts paid in cash is

	not more than 5 % of total payments during the year.
Profession	Gross Receipts exceeds 50 Lakh
Persons covered under presumptive scheme	If such person claims that his income is LOWER than Income computed on Presumptive basis & his Income Exceeds Basic exemption limit.

Penalty for failure to get books of account audited u/s 271B:

- a) 0.5% of Total Sales, Turnover or Gross Receipts
- b) Rs. 1,50,000

PRESUMPTIVE TAXATION

PROFITS AND GAINS OF BUSINESS ON PRESUMPTIVE BASIS [SECTION 44AD]

- Eligible Assessee:** Resident Individual/ HUF / Firm except LLP
- It is applicable only to business and not to specified profession and also it is not applicable for the persons having earning as commission or brokerage or Agency Business.
- Turnover of eligible assessee doesn't Exceed 2 crore (3 crore, if aggregate cash receipts in relevant P.Y. is up to 5% of T.O. or G.R.)
- Presumptive Income = 8% of Turnover or Gross Receipts.** No further deduction is allowed under section 30 to 38.
Rate of 6% shall be applied instead of 8% if the Amount of total turnover or gross receipts which is received through specified mode up to RFD as per section 139(1).
- Brought forward business loss is allowed to be adjusted from such income but brought forward depreciation is not allowed to be adjusted from such income.
- If Assessee opts this section, then assessee shall be exempt from maintaining books of accounts as well as from audit requirement.
- Such assessee shall be required to pay advance tax to the extent of 100% of tax liability on or before 15th March of the relevant P.Y.
- If an assessee has opted for presumptive income and in the subsequent 5 years he has rejected presumptive income, in that case



he will not be allowed to opt for presumptive income for **next 5 year**. If assessee has rejected the presumptive income, he will be required to **maintain any books of accounts** and also audit is required.

PRESUMPTIVE SCHEME FOR SPECIFIED PROFESSION [SECTION 44ADA]

1. **Eligible Assessee:** Resident Individual or Partnership excluding LLP having specified profession
2. It shall be available if **G.R. of PY** is up to Rs. 50 Lakhs (75 lakhs if aggregate cash receipts in **relevant P.Y.** $\leq$ 5% of total gross receipts)
3. **Presumptive Income** = 50% of **Gross Receipts**. No further deduction is allowed under section 30 to 38.
4. Brought forward business loss is allowed to be adjusted from such income but **brought forward depreciation** is not allowed to be adjusted from such income.
5. If Assessee opts this section, then assessee shall be exempt from maintaining books of accounts as well as from **audit requirement**.
6. Such assessee shall be required to pay advance tax to the extent of **100% of tax liability** on or before **15th March** of the relevant P.Y..
7. Assessee can change the option on a **year-to-year basis**.

BUSINESS OF PLYING, HIRING OR LEASING GOODS [SECTION 44AE]

1. If any person is engaged in the business of plying, hiring or leasing goods carriages, he will have the option to **compute PGBP** on presumptive basis:
 - a) Heavy goods Vehicle (**Gross Weight > 12,000 Kgs or 12 Tons**) → Rs. 1,000 per ton per month or part thereof.
 - b) Other vehicle: **Rs. 7,500** per month or part thereof.

Note: income is calculated on the basis of ownership of vehicle. It is irrelevant whether assessee actually runs the vehicle or not.
2. Assessee should not own more than 10 vehicles at anytime during the year.
3. No further deduction is **allowed under section 30 to 38** but in case of

a firm interest and salary to partners is **allowed** as per section 40(b).

4. The assessee shall be exempt from maintaining books of accounts or audit.
5. The assessee has the option to **reject presumptive income** but in that case assessee should maintain any books of accounts and also audit is required.
6. An assessee, who is in **possession** of a goods carriage, whether taken on hire purchase or on instalments, shall be deemed to be the owner of such goods carriage.
7. Assessee can **change the option** on year-to-year basis.
8. Brought forward depreciation shall not be allowed to be adjusted but brought forward business loss shall be allowed to be adjusted.

